

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester II Examination, 2023-24

Paper No. BCF-122: Fundamentals of Business Finance

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Explain the nature and scope of financial management in the modern enterprise.
[14]

OR

What is the objective of profit maximization? How is it different from wealth maximization?
[14]

Question 2. What is meant by financial planning? What factors should be kept in mind while formulating a financial plan? [14]

OR

Explain the importance of finance in modern business. Also discuss the objectives of various types of sources. [14]

Question 3. What is meant by financial decision? Explain the inter-relationship between financing, investment, and dividend decisions in the changing facets of the business environment.
[14]

OR

Explain the terms 'over-capitalization' and 'under-capitalization'. State the effects of over-capitalization and under-capitalization on the company and its shareholders. [14]

Question 4. What is the significance of capital budgeting in an organization? Explain in detail the various steps involved in the capital budgeting process. [14]

OR

What is the weighted average cost of capital? Explain the rationale behind the use of weighted average cost of capital. [14]

Question 5. What is the cost of capital? Explain the problems faced in determining the cost of capital. Explain the approach to determine the cost of retained earnings. [14]

OR

Define dividend and its various types. What are the factors that influence the dividend policies of an organization? [14]

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